CASE STUDIES

Stamford Health Medical Center

1500 Boston Post Road, Darien, CT – Executed October 2023

Tenant-Aligned Lease Restructure in a Mission-Critical Facility

Aspect Health acquired a 18,754 SF, two-story Class-A medical office in affluent Darien, CT, fully leased to **Stamford Health Medical Group**—an S&P BBB+ rated, multi-specialty affiliate of Stamford Health. The facility supports high-acuity outpatient care including primary care, women's health, cardiology, and general surgery, with select space subleased to Columbia Physicians.

Facing a 22% CPI rent escalation, Aspect Health structured a collaborative lease extension and strategic capital advisory approach that provided the tenant with budgeting relief, capital improvement funds, and long-term occupancy certainty, while enhancing the asset's cash flow durability and institutional appeal.

18,754	17.5*	35.44*	1	2009
SQFT	**Year Lease Term**	**Base Rent NNN**	**Tenant**	**Year Redeveloped**

**Date of Execution*

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STAMFORD HEALTH

Situation

In early 2023, Aspect Health identified an on-market opportunity in Darien, Connecticut, one of the most supply-constrained and demographically attractive submarkets in the New York metro region. The asset—an 18,754 SF, two-story Class-A building—had been fully occupied by Stamford Health Medical Group since 1997. The lease featured eight years of remaining term, was structured as absolute NNN, and included a CPI-based escalation mechanism with a scheduled ~22% rent step-up in late 2023. While the tenant had made substantial investments in the facility, the upcoming rent increase posed significant financial pressure amid a tightening healthcare operating environment.

"This transaction exemplifies Aspect Health's thesis: partner with tenants to create alignment, proactively solve operational challenges, and position assets for institutional-grade ownership through thoughtful execution."

Execution

Aspect Health leveraged long-standing relationships with Stamford Health executives, including the COO and VP of Finance, to engage directly and collaboratively. Aspect Health proposed a strategic lease extension and restructured economics to improve both tenant experience and asset value:

- **Lease Extension & Rent Escalation Reform:** Negotiated a new 10-year lease extension, bringing the total lease term to 18 years. Replaced CPI-based 5-year escalations with predictable 2.00% annual bumps—aligning with both tenant budgeting needs and institutional buyer preferences.
- **Economic Mitigation**: Provided seven months of rent abatement, spread over a six-year period, to soften the impact of the one-time CPI increase.
- **Capital Partnership:** Offered $200,000 in capital improvements for tenant-directed upgrades. Aspect Health proactively suggested enhancements focused on patient and provider experience—including resurfacing the parking lot, upgrading monument signage, and improving lighting and HVAC.

Outcome

The result was a fully aligned, long-term extension of a mission-critical tenancy, converting near-term rollover risk into long-term income stability. Stamford Health has already deployed over $150,000 in capital improvements, including full resurfacing of the parking lot, HVAC replacements, LED lighting upgrades, and directional signage enhancements—each contributing to improved patient experience. Additionally, the lease restructuring institutionalized rent growth, enhancing income predictability and aligning the asset more closely with REIT and private equity buyer preferences.

Sponsor Value Creation

Aspect Health executed a lease restructuring and tenant engagement strategy that created long-term mutual value:

- **Created Yield Without Raising Rent:** Through lease extension and cash-flow smoothing (not mark-to-market hikes), Aspect Health improved NOI durability while maintaining a collaborative relationship with a health system partner.
- **De-risked the Asset for Institutional Exit:** The move from CPI to annual increases aligns with what REITs and institutional buyers prefer—removing volatility from the cash flow stream.
- **Advised on Real Estate Enhancements That Support Care Delivery:** Our advisory mindset helped the tenant prioritize capex investments that directly impact patient experience—such as wayfinding and parking—not just aesthetics.